



BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 21-08

EUCATEX OF NORTH AMERICA INC.,
COMPLAINANT,

v.

CMA CGM (AMERICA) LLC and FENIX MARINE SERVICES LTD.

RESPONDENTS.

COMPLAINT

Complainant Eucatex of North America Inc. (“Complainant” or “Eucatex”), by its undersigned attorneys, files this Complaint against Respondents herein, alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Complainant Eucatex is a corporation organized and existing under the laws of the State of Georgia, with a principal place of business at 11475 Great Oaks Way, Suite 310, Alpharetta, GA, 30022.

II. RESPONDENTS

2. CMA CGM (America) LLC (“CMA”) is a limited liability company organized and existing under the laws of the State of New Jersey, with a principal place of business at 5701 Lake

Wright Drive, Norfolk, VA 23502. CMA is and was at all times pertinent to this Complaint a common carrier within the meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

3. Fenix Marine Services, Ltd. (“FMS”) is a corporation organized and existing under the laws of the State of Delaware with a principal place of business at 614 Terminal Way San Pedro, CA 90731. FMS is and was at all times pertinent to this Complaint a marine terminal operator (“MTO”) within the meaning of the Shipping Act, 46 U.S.C. § 40102(15), subject to regulation by the FMC.

III. JURISDICTION

4. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984.

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. Eucatex is seeking reparations for injuries caused to it by Respondents due to their violations of 46 U.S.C. § 41102(c).

6. The FMC has personal jurisdiction over CMA as a “common carrier” as defined in 46 U.S.C. § 40102(7).

7. The FMC has personal jurisdiction over FMS as a “MTO” as defined in 46 U.S.C. § 40102(15).

8. Respondents’ actions alleged herein constitute failures by each Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Eucatex, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5.

IV. FACTUAL ALLEGATIONS

9. On or about October 2020, Eucatex engaged the non-vessel operating common carrier (“NVOCC”) Blu Logistics to arrange for transportation of 43 containers from Brazil to the United States.

10. Blu Logistics engaged CMA to transport the goods from Santos, São Paulo, Brazil to Long Beach, California. The 43 containers moved under CMA bill of lading (“B/L”) numbers SSZ0849867, SSZ0845076, SSZ0852138, and SSZ0853173 (the “Shipments”).

11. CMA designated FMS as the terminal to process the Shipments at the Port of Los Angeles (“Port”).

12. Prior to arrival at the Port, the Shipments moving under B/L Nos. SSZ0849867, SSZ0845076, and SSZ0852138 were placed on a Customs hold by U.S. Customs and Border Protection (“CBP”) pending further examination.

13. Selected containers from each of the Shipments covered by the Customs hold were designated to be examined by x-ray, which required FMS to load the containers on chassis, and move the goods to a Centralized Examination Station (“CES”) operated by Price Transfer, Inc. (“Price Transfer”).

14. FMS did not move the containers for examination in a timely manner. Rather, as explained more fully below, FMS took two to four weeks to submit each container for Customs examination.

A. Bill of Lading No. SSZ0849867

15. Thirteen containers moved under B/L No. SSZ0849867 (“Shipment No. 1”).

16. On January 13, 2021, container No. APHU6777606 was placed on a Custom hold.

17. Shipment No. 1 arrived at the Port on January 15, 2021. The last free day for the purposes of demurrage was January 21, 2021. Because container No. APHU6777606 was placed on hold, the remaining containers governed by B/L No. SSZ0849867 could not be released until the Customs examination was completed.

18. On January 29, 2021, 14 days after Shipment No. 1 had arrived at the Port, container No. APHU6777606 was moved to the Price Transfer CES for the Customs exam. The Customs examination was completed, and the hold on all 13 containers of Shipment No. 1 was released by Customs on the evening of Friday, February 5, 2021.

19. On Friday, February 5, 2021, Eucatex attempted to arrange for pick up of the containers but was unable to do so until the following week. Eucatex picked up the 13 containers of Shipment No. 1 from the Port on February 10-12, 2021.

20. FMS assessed demurrage charges on the containers of Shipment No.1 in the amount of \$58,220.00, apparently on behalf of CMA. Eucatex requested an extension of the free time from FMS and CMA, but its requests were denied.

21. Eucatex was required to pay the assessed demurrage charges in order to pick up the containers of Shipment No. 1.

B. Bill of Lading No. SSZ0845076

22. Thirteen containers moved under B/L No. SSZ0845076 (“Shipment No. 2”).

23. On January 11, 2021, container Nos. TCNU6905347 and SEGU4662679 were placed on a Customs hold.

24. Shipment No. 2 arrived at the Port on January 15, 2021. The last free day was January 21, 2021. Because container Nos. TCNU6905347 and SEGU4662679 were placed on

hold, the remaining containers governed by B/L No. SSZ0845076 could not be released until the Customs examination was completed.

25. On February 5, 2021, 21 days after Shipment No. 2 had arrived at the Port, container Nos. TCNU6905347 and SEGU4662679 were moved to the Price Transfer CES for the Customs exam. The Customs examination was completed, and the hold on all 13 containers of Shipment No. 2 was released by Customs on Friday, February 12, 2021.

26. Eucatex picked up the 13 containers of Shipment No. 2 from the Port on February 15-17, 2021.

27. FMS assessed demurrage charges on the containers of Shipment No. 2 in the amount of \$94,065.00, apparently on behalf of CMA. Eucatex requested an extension of the free time from FMS and CMA, but its requests were denied.

28. Eucatex was required to pay the assessed demurrage charges in order to pick up the containers of Shipment No. 2.

C. Bill of Lading No. SSZ0852138

29. Sixteen containers moved under B/L No. SSZ0852138 (“Shipment No. 3”).

30. On February 18, 2021, container No. APHU7001690 was placed on a Customs hold.

31. Shipment No. 3 arrived at the Port on February 19, 2021. The last free day was February 26, 2021. Because container No. APHU7001690 was placed on hold, the remaining containers governed by B/L No. SSZ0852138 could not be released until the Customs examination was completed.

32. On March 16, 2021, 25 days after Shipment No. 3 had arrived at the Port, container No. APHU7001690 was moved to the Price Transfer CES for the Customs exam. The Customs

examination was completed, and the hold on all 16 containers of Shipment No. 3 were released by Customs on Monday, March 22, 2021.

33. Eucatex picked up the 16 containers of Shipment No. 3 from the Port on March 22-23, 2021.

34. FMS assessed demurrage charges on the containers of Shipment No. 3 in the amount of \$117,705.00, apparently on behalf of CMA. Eucatex requested an extension of the free time from FMS and CMA, but its requests were denied.

35. Eucatex was required to pay the assessed demurrage charges to pick up the containers of Shipment No. 3.

D. Bill of Lading No. SSZ0853173

36. One container moved under B/L No. SSZ0853173 (“Shipment No. 4”).

37. Shipment No. 4 arrived at the Port on January 21, 2021. The last free day was February 4, 2021.

38. Eucatex scheduled an appointment for pickup of the container governed by B/L No. SSZ0853173 at the Port on February 4, 2021, at 3:00 PM.

39. Due to congestion issues at the Port, Eucatex was unable to pick up the container.

40. On February 8, 2021, Eucatex picked up the container from the Port.

41. FMS assessed demurrage charges on the container of Shipment No. 4 in the amount of \$1,025.00. Eucatex requested an extension of the free time from FMS and CMA due to its inability to pick up the container due to congestion at the port, but its requests were denied.

42. Eucatex was required to pay the assessed demurrage charges in order to pick up the container of Shipment No. 4.

E. Demurrage Charges

43. When Eucatex questioned the delays in moving containers to the Price Transfer CES, it was informed that there was an “extreme chassis shortage” at the Port, which significantly delayed FMS’s ability to submit the containers for Customs exam as it is not a chassis provider.

44. FMS further claimed that the lack of equipment was because CMA had failed to provide it with chassis for the Shipments.

45. In all cases, both CMA and FMS refused to extend the last free day for any of the Shipments and/or waive or reduce the accrued demurrage. In communications with FMS and CMA, both stated that it is their respective policies and practices not to waive or reduce demurrage assessed under these circumstances and refused to waive or reduce the demurrage charges and/or extend free time.

46. Due to the significant delays, which were outside of Eucatex’s control, Eucatex was assessed demurrage charges in the total amount of \$271,015 in connection with the Shipments.

47. The demurrage charges at issue were assessed at both the base and penalty levels while the containers at issue were unavailable due to government holds on Shipments Nos. 1-3 and Port congestion affecting Shipment No. 4.

48. In or about March 2021, Eucatex attempted to discuss the demurrage charges with FMS and CMA. Each claimed that the other was responsible for assessing the demurrage charges against Eucatex and/or extending the free time. CMA also claimed that it was only invoicing Eucatex for the exam charges and nothing else. Eucatex has made numerous attempts to obtain an extension of the free time or resolve the contested demurrage charges with CMA and FMS without success.

49. Despite repeated requests, neither FMS nor CMA have provided Eucatex with detailed invoices regarding the demurrage charges assessed.

50. To date, Eucatex has only received information on the amount of demurrage owed but has not been provided with any other details regarding how the demurrage was assessed (*e.g.*, number of days assessed, penalty rates assessed).

51. Despite dispute of the charges by Eucatex and the lack of specific billing information, Eucatex was required to pay the demurrage charges under duress to obtain prompt release of the containers and to avoid the accrual of additional demurrage and other charges.

V. VIOLATIONS OF THE SHIPPING ACT

52. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

53. Respondent CMA is an ocean common carrier as defined by the Shipping Act.

54. Respondent FMS is a marine terminal operator as defined by the Shipping Act.

55. Respondents’ practices and regulations relating to the assessment of demurrage are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

56. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against Shipments Nos. 1-3 (B/L Nos. SSZ0849867, SSZ0845076, and SSZ0852138) that were subject to governmental holds for examination by Customs, and therefore, unavailable for pick-up.

57. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges against Shipment No. 4 (B/L No. SSZ0853173) that was unavailable for pickup due to congestion-related delays at the Port.

58. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing demurrage charges that serve no incentivizing principle and do not promote freight fluidity.

59. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to provide Eucatex with detailed billing information and/or invoices relating to the demurrage charges assessed that would allow Eucatex to meaningfully understand and contest the charges.

60. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by refusing to extend free time and/or waive or reduce demurrage charges for the Shipments that were unavailable for pickup.

61. Respondents failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to have a clear dispute resolution policy with respect to demurrage charges.

VI. CAUSATION AND INJURY TO COMPLAINANT

62. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of \$271,015.

VII. ALTERNATIVE DISPUTE RESOLUTION

63. Eucatex made numerous unsuccessful attempts to resolve this matter with FMS and CMA prior to filing this Verified Complaint. Considering statements by FMS and CMA that their respective policies are to assess demurrage charges on containers that cannot be picked up due to government holds or port congestion, Eucatex did not seek to use the FMC's alternative dispute resolution procedures prior to filing this Verified Complaint. For the same reasons, Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the FMC's ADR program, 46 C.F.R. § 502.64.

VIII. PLACE OF HEARING

64. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that Respondents be required to answer the charges in this Complaint, and that after the Commission's investigation and hearing, the Commission issue an order:

- 1) Requiring Respondents to pay Complainant reparations for the unlawful conduct described herein, along with interest and Complainant's attorneys' fees and costs pursuant to 46 U.S.C. 41305;

2) Requiring the payment of any other amounts that the Commission deems appropriate;
and

3) Providing such other and further relief that the Commission deems just and proper.

DATE: August 31, 2021

Respectfully submitted,

A handwritten signature in blue ink, appearing to read "DK Monroe", is written over a horizontal line.

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VERIFICATION

I, Pedro Furlanetto, am the Chief Executive Officer of Complainant Eucatex North America Inc. and hereby declare and attest under penalty of perjury that I have read the forgoing Verified Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: 08/30/2021

Pedro Furlanetto